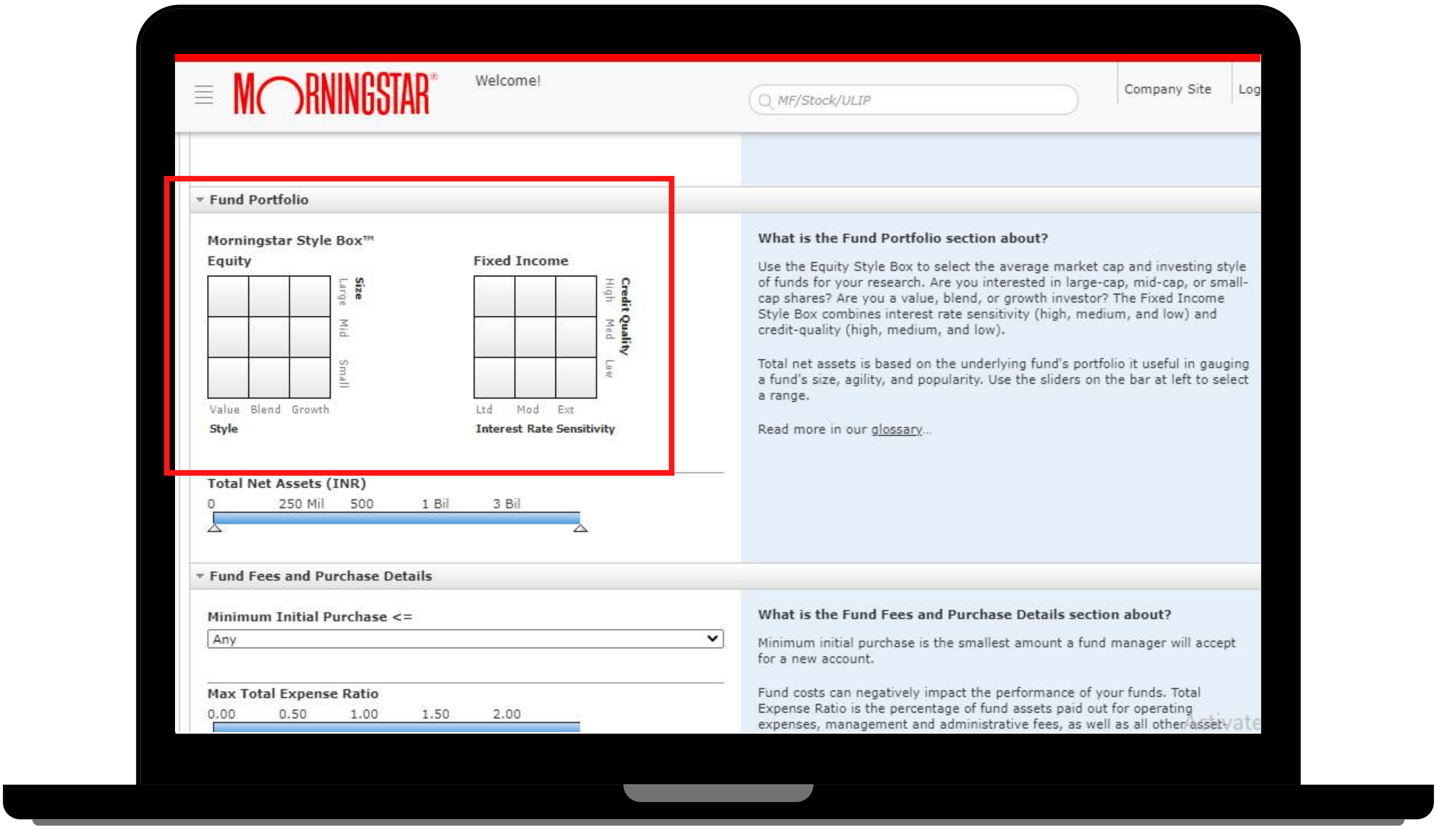
FUND STYLE

We see that Morningstar uses 3x3 metrics to evaluate different equity and debt mutual funds. For equity, they use small-cap, mid-cap, and large-cap on one axis and value, hybrid, or growth approach on the other. We already are aware of small-cap, mid-cap, and large-cap. The value approach is when mutual funds try to buy assets below their value whereas the growth approach is when the managers are ready to pay more than the true value if they think the company's true value will increase in coming years. We saw this when we were learning about equity shares. Both approaches have their merits and demerits and there is no correct answer.

Fixed-income assets too use a similar 3x3 metrics box. Here, one axis depicts credit quality as determined by credit rating companies. The second axis represents interest rate sensitivity. Market Interest rate keeps on changing with changes in the market price of mutual funds. Prices of long term bonds change more frequently than that of short term bonds. Credit quality and interest rate sensitivity together decide the fund style for fixed income securities.



SOURCE: Morningstar.in